



March 8, 2023

Representative Kam Buckner
229-E Stratton Office Building
Springfield, IL 62706

Representative Lamont J. Robinson, Jr.
Chairperson of the Illinois Cybersecurity, Data Analytics, & IT Committee
286-S Stratton Office Building
Springfield, IL 62706

Representative Edgar Gonzalez, Jr.
Vice-Chairperson of the Illinois Cybersecurity, Data Analytics, & IT Committee
240-W Stratton Office Building
Springfield, IL 62706

RE: HB 1381 – Illinois “Right to Know Act” - Oppose

Dear Representative Buckner, Chairperson Robinson, and Vice-Chairperson Gonzalez:

We write to respectfully request that you **reconsider HB 1381**, the “Right to Know Act.”¹ We and the companies we represent, many of whom do substantial business in Illinois, strongly believe consumers deserve meaningful privacy protections supported by reasonable laws and responsible industry policies. However, the bill’s proposed requirement that operators disclose the names of the specific third parties with whom data is shared is out-of-step with virtually every other privacy law that has been enacted in other states to date. Moreover, the bill’s private right of action enforcement approach would create inconsistent and ineffective protections for consumers while subjecting well-meaning businesses to excessive and potentially enterprise-threatening potential penalties. We therefore ask you to reconsider the bill’s approach to consumer disclosures and enforcement, as discussed further below.

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product (“GDP”) in 2020.² Our group has more than a decade’s worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with you further on issues with the bill outlined here.

¹ Illinois HB 1381 (Gen. Sess. 2023), located [here](#) (hereinafter, “HB 1381”).

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf.

I. HB 1381’s third party name disclosure requirement should be converted to a requirement to disclose the categories of third parties.

As presently drafted, HB 1381 would require operators to disclose “the names of all third parties that received the customer’s personal information” upon an Illinois consumer’s request.³ Other states that have enacted privacy laws do not include this impractical requirement. Instead, all other state privacy laws require companies to disclose the *categories* of third parties to whom they transfer personal information rather than the specific names of such third parties themselves.⁴

Requiring disclosure of names of entities would be operationally burdensome, as operators change customers, business partners, and vendors frequently, and companies regularly merge with others and change names. For instance, an operator may engage in a data exchange with a new business-customer on the same day it responds to a consumer disclosure request. The requirement to disclose the names of all third-party personal information recipients would either force the operator to refrain from engaging in commerce with the new business-customer until its consumer disclosures are updated, or risk violating the law. This is an unreasonable restraint, particularly when coupled with the private right of action enforcement mechanism HB 1381 would adopt. From an operational standpoint, constantly updating a list of all third-party customers, partners, and vendors an operator works with would take significant resources and time away from companies’ efforts to comply with other new privacy directives being contemplated by the Illinois General Assembly during this legislative session.

International privacy standards like the European Union’s General Data Protection Regulation (“GDPR”) also do not require burdensome disclosures of specific third parties in response to data subject access requests, according to the text of the law. Mandating that companies disclose the names of their third-party partners could obligate companies to abridge confidentiality clauses they maintain in their contracts with partners and expose proprietary business information to their competitors. Finally, the consumer benefit that would accrue from their receipt of a list of third-party partners to whom a controller discloses data would be minimal at best. For these reasons, we encourage you to reconsider this onerous requirement, which severely diverges from the approach to required disclosures taken in existing state privacy laws. To align HB 1381 with other state privacy laws, the bill should require disclosures of the categories of third parties rather than the names of such third parties themselves.

I. HB 1381 should vest enforcement exclusively in the Illinois Attorney General.

HB 1381 presently includes a private right of action.⁵ We strongly believe a private right of action is not an effective enforcement mechanism for privacy legislation. Instead, enforcement should be vested solely with the Illinois Attorney General (“AG”). This enforcement structure would lead to effective compliance by controllers and strong outcomes for state residents, while better enabling

³ HB 1381, at Section 20(a)(2).

⁴ See, e.g., Cal. Civ. Code § 1798.110; Va. Code Ann. § 59.1-578(C); Colo. Rev. Stat. § 6-1-1301(1)(a) (effective Jul. 1, 2023); Connecticut Act Concerning Personal Data Privacy and Online Monitoring, Sec. 6(c) (effective Jul. 1, 2023); Utah Rev. Stat. § 16-61-302(1)(a) (effective Dec. 31, 2023)..

⁵ HB 1381, at Section 35.

controllers to allocate funds to develop processes and procedures to facilitate compliance with new data privacy requirements. AG enforcement, instead of a private right of action, is in the best interests of consumers and businesses alike.

A private right of action would create a complex and flawed compliance system without tangible privacy benefits for consumers. Allowing private actions would flood Illinois' courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm.⁶ Private right of action provisions are completely divorced from any connection to actual consumer harm and provide consumers little by way of protection from detrimental data practices.

Additionally, establishing a private right of action would have a chilling effect on the state's economy by creating the threat of steep penalties for companies that are good actors but inadvertently fail to conform to technical provisions of law. Private litigant enforcement provisions and related potential penalties for violations represent an overly punitive scheme that would not effectively address consumer privacy concerns or deter undesired business conduct. A private right of action would expose controllers to extraordinary and potentially enterprise-threatening costs for technical violations of law rather than drive systemic and helpful changes to business practices. It would also encumber controllers' attempts to innovate by threatening companies with expensive litigation costs, especially if those companies are visionaries striving to develop transformative new technologies. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced the claims are without merit.⁷

Beyond the staggering cost to Illinois businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm consumers. We therefore encourage legislators to remove the private right of action from HB 1318 and make enforcement responsibility the purview of the AG alone.

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⁶ A select few attorneys benefit disproportionately from private right of action enforcement mechanisms in a way that dwarfs the benefits that accrue to the consumers who are the basis for the claims. For example, a study of 3,121 private actions under the Telephone Consumer Protection Act ("TCPA") showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms. Amounts paid out to consumers under such lawsuits proved to be insignificant, as only 4 to 8 percent of eligible claim members made themselves available for compensation from the settlement funds. U.S. Chamber Institute for Legal Reform, *TCPA Litigation Sprawl* at 2, 4, 11-15 (Aug. 2017), located [here](#).

⁷ For instance, in the early 2000s, private actions under California's Unfair Competition Law ("UCL") "launched an unending attack on businesses all over the state." American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It's Time to Restore Sanity to the Litigation* at 8 (2003), located [here](#). Consumers brought suits against homebuilders for abbreviating "APR" instead of spelling out "Annual Percentage Rate" in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. *Id.*



We and our members support protecting consumer privacy. We believe, however, that HB 1381 imposes particularly onerous disclosure requirements on operators that will not materially increase privacy protections for Illinois residents. The bill also incorporates an enforcement structure that would not work for Illinois consumers or businesses alike. We therefore respectfully ask you to reconsider HB 1381 or amend it to reflect the recommendations set forth in this letter. Again, we would welcome the opportunity to discuss these comments with you in greater detail.

Thank you in advance for your consideration of this letter.

Sincerely,

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